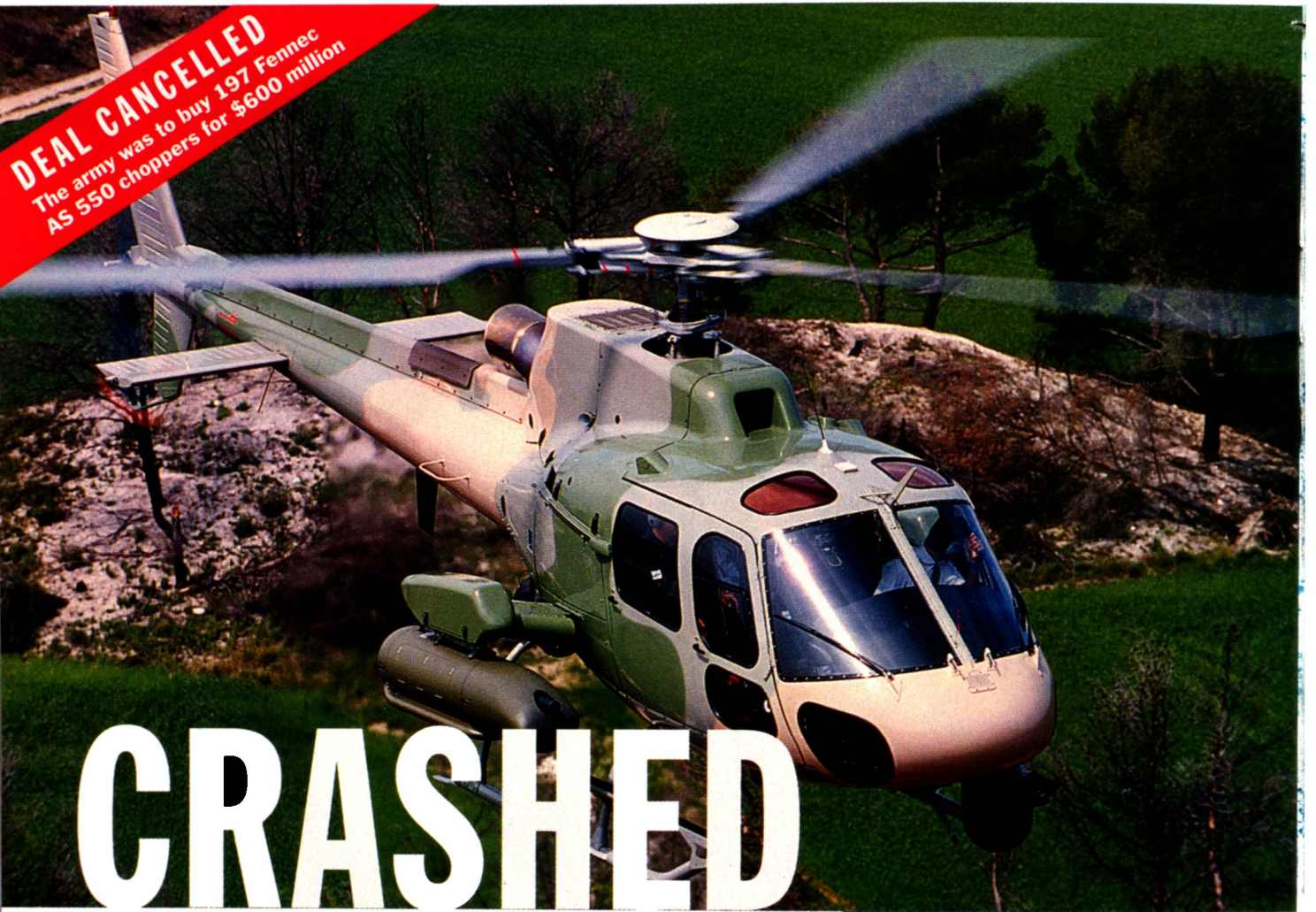


DEAL CANCELLED
The army was to buy 197 Fenec
AS 550 choppers for \$600 million



CRASHED CONTRACT

The defence ministry scraps a helicopter contract after the army is found bending the rules to accommodate Eurocopter

■ By Sandeep Unnithan

Another defence deal joined a lengthening list of dubious contracts when the defence ministry recently scrapped a three-year-long process to acquire 197 army helicopters. Earlier this year, the seven-year process for buying 180 towed artillery guns was restarted on technical grounds. Two years back, the contract to acquire self-propelled Howitzers from South Africa was scrapped after the arms firm Denel was found to have paid kickbacks.

Never in recent times has the defence ministry spent so much effort defending itself. The latest kerfuffle was over the purchase of light utility helicopters to replace the single-engined Cheetahs which have formed the backbone of the army aviation carrying supplies and evacuating casualties from far-flung army posts including Siachen. Phasing out these choppers, inducted in the 1970s, has been long overdue. Eleven of these machines have crashed in the past seven years.

Now, the process of their replacement has been delayed by another

WHY IT WAS JUNKED

■ The army shortlisted the military variant, the AS 550 Fenec to replace its vintage Cheetahs and Chetaks, but conducted field trials using the helicopter's civilian variant, the Ecuirel.

■ Such deviations can only be approved by the defence minister after they go through the Defence Procurement Board. This procedure was not followed.

■ The chopper deal also violates Defence Procurement Procedure, 2006, which states that a technical offer once submitted should not be materially changed later.

■ Central Vigilance Commission found irregularities in the tendering process and advised the Government to scrap the contract.